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Japan's regional banks and the BoJ's rate increases: most have realised more in bond losses than they have gained in interest income

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Over the period of the Bank of Japan's four rate increases between March 2024 and December 2025, the net interest income of first-tier regional banks rose 31.4% between the fiscal years to March 2024 and March 2026, and that of second-tier regional banks 12.5%. The benefit has not yet exceeded the cost. Over the two fiscal years to March 2026 the two groups earned ¥1,415.8bn more in net interest income than at the March 2024 level, and realised ¥1,608.3bn of losses on bonds. At bank level, 52 of 92 banks realised more in bond losses over those two years than they gained in interest income.

The gain is distributed unevenly, and not in the way the loan-to-deposit ratio would suggest. It is more closely associated with balances held as deposits with banks, including current accounts at the Bank of Japan, rather than to the size of the loan book: across 94 banks the rank correlation between the share of assets held in deposits with banks and the rise in net interest income is 0.57, while that with the loan-to-deposit ratio is –0.26. Deposit costs absorbed the equivalent of 70% of the increase in loan interest.

The June 2026 increase, which took the overnight call rate to 0.978%, is not yet in the accounts. The banks' own regulatory disclosures indicate that further increases are not the principal risk for most of them. For 46 of 84 banks the largest decline in the economic value of equity (ΔEVE) under the six prescribed scenarios arises from falling rates, and no bank reports a ΔEVE under a parallel rise above 15% of Tier 1. The banks that have paid most in realised bond losses are, for the most part, not those most exposed to further increases.

The rate path and its pass-through to lending and deposit rates

The monthly average of the uncollateralised overnight call rate moved from –0.006% in February 2024 to 0.978% in July 2026, in five steps: March 2024, August 2024, January 2025, December 2025 and June 2026. The first four fall within the fiscal years covered by published bank accounts.

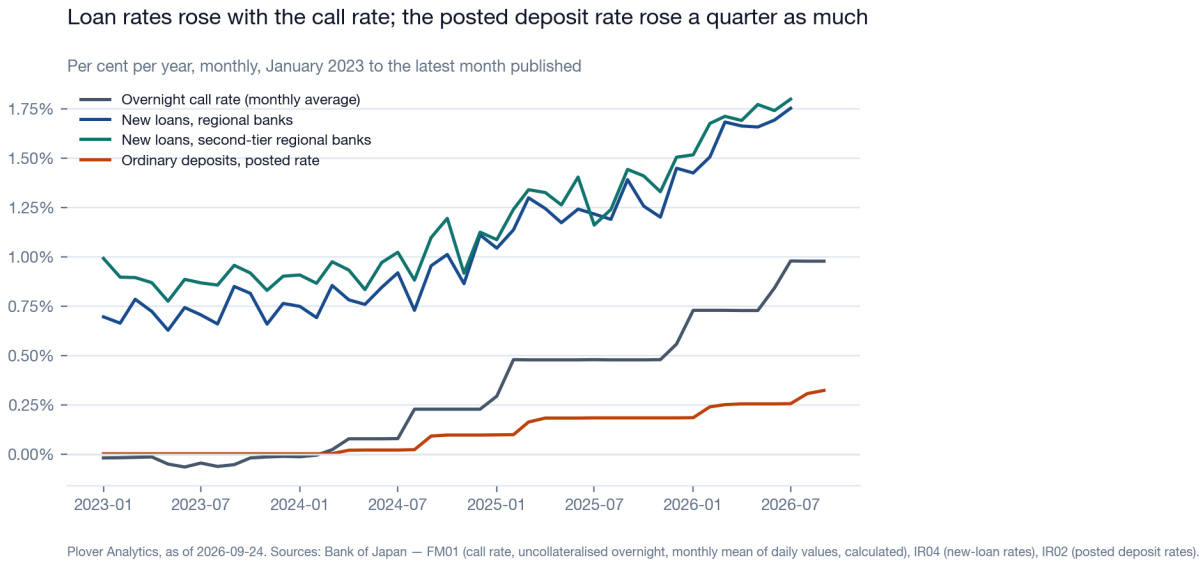


Chart 1. Loan rates rose with the call rate; the posted deposit rate rose a quarter as much. Bank of Japan Time-Series Data Search (FM01, IR04, IR02).

Over the same period the average contracted rate on new loans by regional banks rose from 0.691% to 1.752%, an increase of 1.06 percentage points, broadly in line with the 0.98-point rise in the call rate. The rate on new loans by second-tier regional banks rose from 0.865% to 1.798%. The average posted rate on ordinary deposits rose from 0.001% to 0.255% in July 2026, an increase of 0.25 percentage points, and stood at 0.322% in September 2026.

Net interest income against realised bond losses, first-tier and second-tier regional banks

Japanese Bankers Association aggregates, non-consolidated, fiscal years to March, ¥bn:

	FY2023	FY2024	FY2025
First-tier: net interest income	3,066.7	3,402.1	4,030.7
First-tier: realised bond result	−374.6	−368.2	−941.6
Second-tier: net interest income	733.3	757.8	825.3
Second-tier: realised bond result	−94.0	−103.9	−194.5

Net interest income of first-tier regional banks rose by ¥964.0bn between FY2023 and FY2025; that of second-tier regional banks by ¥92.0bn. Measured cumulatively, the two groups earned ¥1,299.4bn and ¥116.5bn respectively more in FY2024 and FY2025 than they would have at the FY2023 level. Their realised bond results over the same two years were −¥1,309.9bn and −¥298.4bn. The combined position is a net cost of ¥192.4bn.

Across the 94 banks not affected by a merger in the period, interest on loans rose by ¥1,142.6bn, interest and dividends on securities by ¥542.3bn and interest on deposits with banks by ¥245.3bn. Interest paid on deposits rose by ¥803.5bn, a 5.2-fold increase from a low base. The rise in interest on deposits with banks accounted for 23% of the ¥1,059.2bn increase in net interest income.

Increase in net interest income by bank, and its relation to balance-sheet structure

The median bank increased net interest income by 20.4% between FY2023 and FY2025. The median first-tier regional bank recorded 28.0% and the median second-tier regional bank 9.4%. The range runs from 62.0% at Ashikaga to −5.2% at Fukuoka Chuo; seven banks recorded no increase or a decline, six of them second-tier.

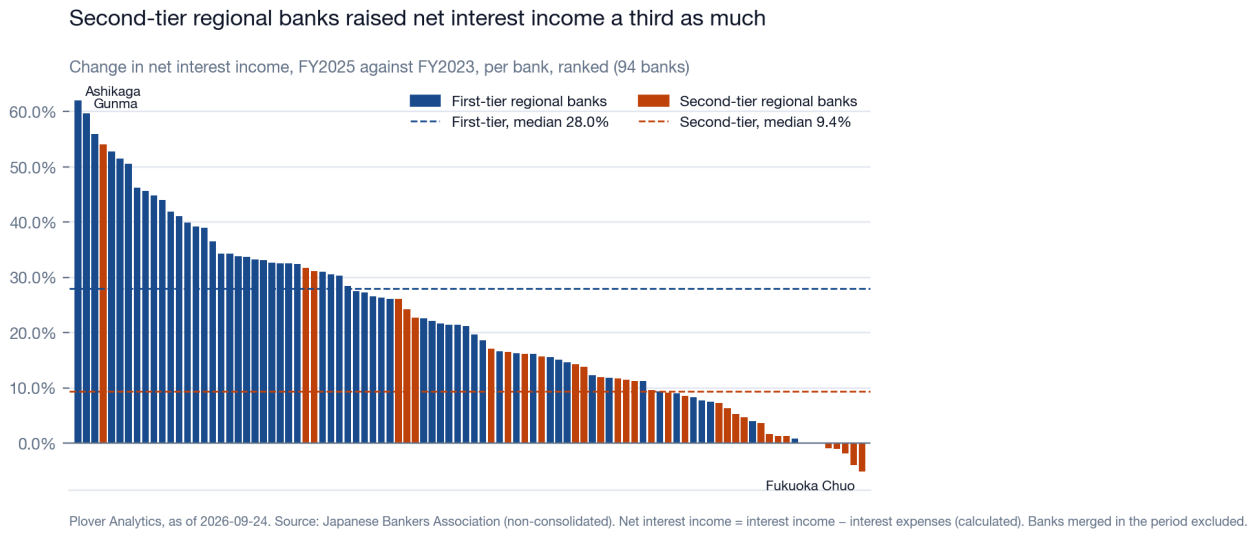


Chart 2. Second-tier regional banks raised net interest income a third as much. Underlying data, frozen at 24 September 2026.

A bank with a higher loan-to-deposit ratio might be expected to benefit more from rising rates. The data do not support that expectation for this cycle. The rank correlation between the loan-to-deposit ratio at March 2024 and the subsequent rise in net interest income is −0.26; banks above the median ratio recorded a median increase of 16.2%, those below it 24.2%. The stronger relationship is with the share of assets held as deposits with banks, which includes current-account balances at the Bank of Japan. That share had a median of 11.5% at March 2024, and its rank correlation with the rise in net interest income is 0.57.

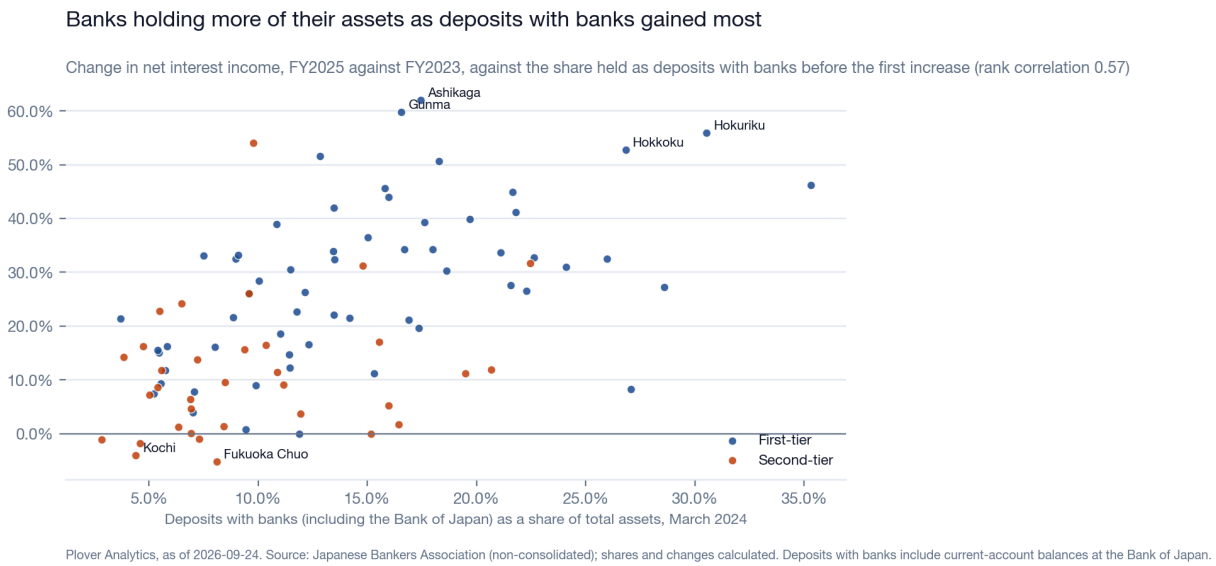


Chart 3. Banks holding more of their assets as deposits with banks gained most. Underlying data, frozen at 24 September 2026.

The income data are consistent with that relationship. Across the 94 banks, interest on deposits with banks rose from ¥70.4bn in FY2023 to ¥315.6bn in FY2025, while loan books reprice only as loans mature or reset and deposit costs rose alongside. Banks that held more of their surplus funding with other banks and the Bank of Japan therefore gained more in the first two years.

Realised bond losses against the gain, by bank

Net interest income has been only one side of the adjustment. Banks have sold bonds bought at lower yields, realising losses in order to reinvest at higher ones. For 52 of the 92 banks with complete data, realised bond losses over FY2024 and FY2025 exceeded the extra net interest income earned over the same two years. Scaled to net assets at March 2026, the median bank gained 4.5% and realised a bond result of −5.1%. On a stricter measure, which compares only the change in FY2025 net interest income with the two-year bond result, 62 of 92 banks are net payers.

LARGEST NET COST	NET, % OF NET ASSETS	LARGEST NET GAIN	NET, % OF NET ASSETS
Towa	−37.7%	Nanto	9.6%
Tochigi	−24.7%	Ryukyus	7.3%
Hokuto	−23.6%	Gunma	7.2%
Hokkoku	−20.1%	Shimane	7.0%
Momiji	−14.9%	Iyo	6.5%

Towa realised ¥38.4bn of bond losses against a ¥6.0bn gain in net interest income. Hokkoku shows that a large gain does not preclude a large cost: its net interest income rose 52.8%, the fifth-largest increase in the sample,

yet it realised ¥64.0bn of bond losses against a two-year gain of ¥21.7bn. Iyo is one of three banks whose bond result over the two years was a gain.

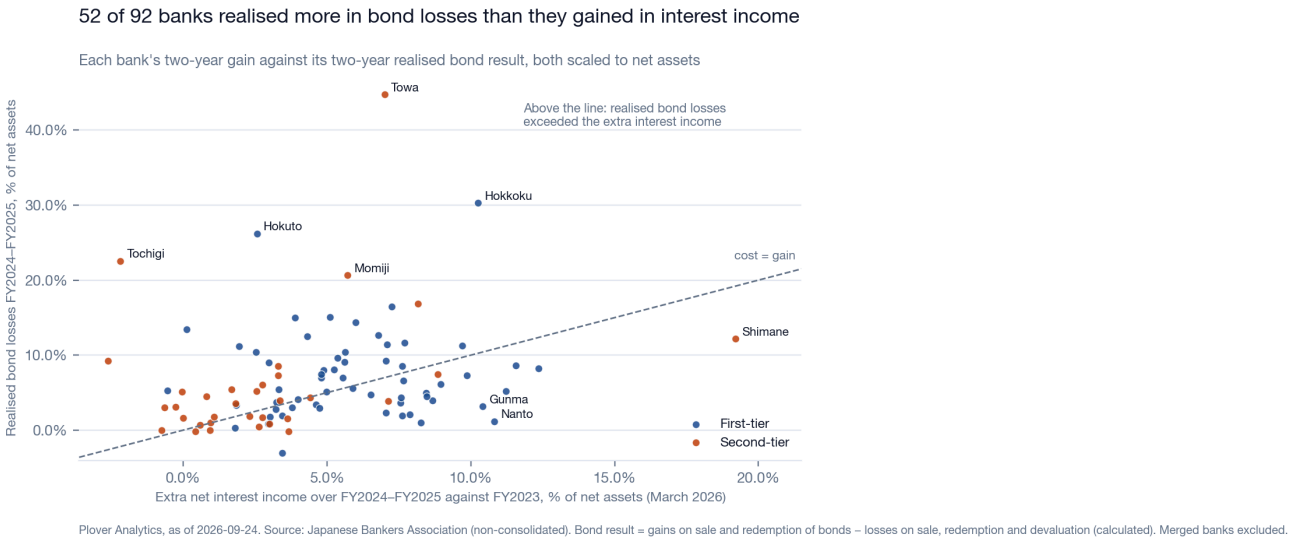


Chart 4. 52 of 92 banks realised more in bond losses than they gained in interest income. Underlying data, frozen at 24 September 2026.

The realised figures do not capture the losses still held. The 67 regional-bank filers whose annual reports reconcile in full reported unrealised losses of ¥3,415.1bn on available-for-sale bonds at March 2026, of which ¥1,911.8bn relates to Japanese government bonds; the median filer's unrealised bond loss was equivalent to 13.9% of its net assets. These are group figures where the filer is a holding company.

Realised losses of this kind are partly a timing choice. A bank that sells a low-yielding bond converts an unrealised loss into a realised one and raises the yield on the reinvested amount, so part of the cost recorded in FY2024 and FY2025 supports net interest income in later years. The figures above measure the position to March 2026; they do not indicate that the repositioning was uneconomic.

Exposure to the next increase, from the banks' IRRBB disclosures

Each bank discloses under Basel Pillar 3 (IRRBB1) the decline in the economic value of its banking book, ΔEVE, and in its net interest income, ΔNII, under six prescribed rate shocks, against Tier 1 capital. The shock sizes are set by currency under the Basel standard, which was recalibrated with effect from 1 January 2026; this note compares banks on their own disclosed figures and does not restate the shock sizes. Figures at March 2026 that include the parallel-rise scenario are available for 84 banks.

For 45 banks the largest ΔEVE arises under a parallel downward shift and for one under a flattening; for 26 it arises under a parallel upward shift and for 12 under a steepening. The distinction matters for the ranking most often cited. Tochigi's largest ΔEVE, 41.0% of Tier 1, arises under a parallel fall in rates; under a parallel rise its ΔEVE is 0.4% of Tier 1.

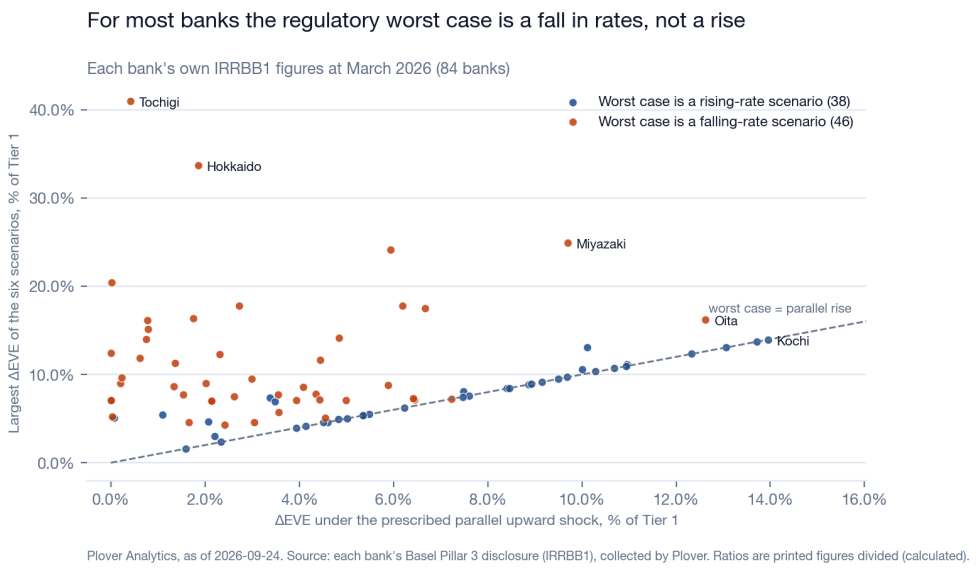


Chart 5. For most banks the regulatory worst case is a fall in rates, not a rise. Underlying data, frozen at 24 September 2026.

Under a parallel rise, the median ΔEVE is 4.4% of Tier 1 and no bank exceeds 15%. The most exposed are:

BANK	ΔEVE, PARALLEL RISE, % OF TIER 1	LARGEST ΔEVE, % OF TIER 1
Kochi	13.9%	13.9%
Higashi-Nippon	13.7%	13.7%
Yamanashi Chuo	13.1%	13.1%
Oita	12.6%	16.2%
Fukuoka Chuo	12.3%	12.3%

Of the ten banks with the largest realised bond cost relative to net assets, two, Oita and Chikuho, are among the ten most exposed to a parallel rise, and the rank correlation between the two measures across 78 banks is 0.01. The banks that have absorbed the largest losses so far are therefore not, in general, those for which a further increase would be most costly in economic-value terms.

The ΔNII disclosures point the other way from the realised results. Under the convention of the disclosure template a positive ΔNII is a fall in income, and of 81 banks reporting the figure, 57 show a fall under a parallel rise, 17 a rise and 7 no change. Ashikaga, which recorded the largest realised increase in net interest income, reports a fall equivalent to 6.9% of Tier 1. The rank correlation between the realised gain and the disclosed ΔNII is −0.13. The regulatory estimate rests on each bank's own deposit model and prescribed assumptions; it is a supervisory sensitivity, not a forecast, and the realised experience suggests that it is conservative for this cycle.

Limitations

Mergers. Aomori Michinoku, Aichi and Hachijuni absorbed other banks within the period, so their growth is not comparable; they are excluded from the rankings, and Nagano, absorbed by Hachijuni, has no FY2025 accounts.

Coverage. Nine of 98 regional banks publish an IRRBB1 table that could not be collected: seven whose websites refuse automated access, one whose holding company's server refuses connections from the collection network, and one whose website no longer exists. Iwate's latest table is as of March 2025 and is excluded from the March 2026 comparison.

Basis. Income and bond figures are each bank's non-consolidated statements; unrealised losses are those of the filer, which is the group where the bank is owned by a holding company. Net interest income is interest income less interest expenses, which differs from the Financial Services Agency's 資金利益 by the funding cost of money held in trust.

Direction. A fall in rates would reverse part of the unrealised losses and compress the income gain simultaneously. No share-price data are held under licence, and the note makes no assessment of valuation.

Sources and method

The call rate is the Bank of Japan's uncollateralised overnight call rate (FM01), averaged by month from published daily values. Lending and deposit rates are from the Bank of Japan, databases IR04 and IR02. Bank-level and aggregate income statements and balance sheets are from the Japanese Bankers Association's *Analysis of Financial Statements of All Banks* (全国銀行財務諸表分析), release in force at 24 September 2026. Unrealised bond losses are from the notes to each filer's annual securities report on EDINET. ΔEVE, ΔNII and Tier 1 are from each bank's Basel Pillar 3 disclosure, with the source document, page and checksum recorded for every figure.

Published figures are quoted as published. Calculated measures: net interest income = interest income − interest expenses; realised bond result = gains on sale and redemption of bonds − losses on sale, redemption and devaluation of bonds, with a line a bank does not report treated as contributing nothing; two-year gain = (FY2024 − FY2023) + (FY2025 − FY2023) net interest income; ratios divide by net assets at March 2026 or by Tier 1 as printed in the same IRRBB1 table; rank correlations are Spearman's. Changes in a rate are in percentage points. A figure a source does not publish is shown as — and is not treated as zero.
